Note 18. Income Taxes

The current and deferred components of the provision for Federal income tax expense for the years ended December 31, 2002, 2001, and 2000 are as follows.

(In thousands)	2002	2001	2000
Current income tax expense	**$ 26,640**	$ 25,912	$ 20,409
Deferred income tax (benefit) expense	**(1,953)**	(3,397)	2,536
Total income tax expense	**$ 24,687**	$ 22,515	$ 22,945

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Notes to Consolidated Financial Statements

Note 18. Income Taxes (Continued)

A deferred tax asset or liability is recognized to reflect the net tax effects of temporary differences between the carrying amounts of existing assets and liabilities for financial reporting purposes and the amounts used for income tax purposes, as well as operating loss and tax credit carryforwards. Significant temporary differences that gave rise to the deferred tax assets and liabilities as of December 31, 2002 and 2001 were as follows:

(In thousands)	2002		2001	
	Deferred Asset	Deferred Liability	Deferred Asset	Deferred Liability
Allowance for loan losses	**$ 12,241**	**$ —**	$ 9,819	$ —
Originated mortgage servicing rights	**—**	**869**	—	700
Deferred loan origination fees and costs, net	**—**	**10,022**	—	9,527
Deferred compensation contributions and gains	**3,033**	**—**	2,420	—
Restricted stock amortization	**666**	**—**	847	—
Depreciation/amortization	**—**	**914**	—	480
Stock dividends on FHLB stock	**—**	**1,175**	—	1,162
Purchase accounting adjustment amortization	—	**—**	24	—
Unrealized (gain) loss on securities available for sale	**—**	**475**	1,695	—
Loan mark-to-market adjustment	**1,504**	**—**	1,703	—
Other temporary differences	**440**	**291**	53	337
Total deferred taxes	**$ 17,884**	**$ 13,746**	$ 16,561	$ 12,206

Items causing differences between the statutory tax rate and the effective tax rate are summarized as follows:

Year ended December 31 (Dollars in thousands)	2002		2001		2000	
	Amount	Rate	Amount	Rate	Amount	Rate
Statutory tax rate	**$ 30,517**	**35.0%**	$ 25,928	35.0%	$ 24,971	35.0%
Amortization of goodwill	**—**	**—**	87	.1	87	.1
Net tax exempt interest income	**(2,707)**	**(3.1)**	(2,152)	(2.9)	(123)	(.2)
Bank owned life insurance income	**(767)**	**(.9)**	—	—	—	—
Dividends on trust preferred securities and preferred stock of subsidiary	**(2,040)**	**(2.3)**	(1,279)	(1.7)	(953)	(1.3)
Other, net	**(316)**	**(.4)**	(69)	(.1)	(1,037)	(1.4)
Provision for income taxes	**$ 24,687**	**28.3%**	$ 22,515	30.4%	$ 22,945	32.2%